UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2015/2016

SEPTEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

MONDAY, 28 SEPTEMBER 2015 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of **THREE (3)** optional questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A: Answer ALL questions **(Compulsory).** **[Total: 40 marks]**

Q1. (a) Exchange rates among Malaysian ringgit (MYR), South African rand (ZAR) and Thai baht (THB) are as follow:

	THB/ZAR	THB/MYR
Spot	3.0080 – 3.0160	10.1930 – 10.1965
90-day forward	80 – 50	20 – 35

Required:

(i) Compute 90-day outright forward rates for THB/ZAR and THB/MYR. (6 marks)

(ii) Compute 90-day forward cross rates for ZAR/MYR. (6 marks)

(iii) Golden Gloves Sdn Bhd exports rubber gloves worth ZAR 900,000 to its South African distributor and allows 90 days credit term. If Golden Goves Sdn Bhd implements forward market hedge, how much will it receive in MYR? (3 marks)

(b) Victory Foods Berhad. a Malaysian processed-food manufacturer, has ordered raw materials for its production and the final payment of MXP 3,500,000 is due to Guardado Corporation, its Mexican supplier, in 90-days time. Currently, Victory Foods Berhad does not have cash surplus and its debt-to-equity ratio is below its industry average. Current rates in the foreign exchange markets and money markets are as follows:

FOREX	
Spot (MXP/MYR)	3.6230 – 3.6880
90-day forward	69 – 96

Money Market	90-day Borrowing	90-day Deposit
MYR	6.0%	5.7%
MXP	7.5%	7.0%

Required:

(i) Compute total payment in MYR if Victory Foods Berhad implements money market hedge. (12 marks)

(ii) Compute total payment in MYR if Victory Foods Berhad implements leading hedge. (5 marks)

(c) Explain FOUR (4) limitations of hedging translation exposure with foreign currency forwards or futures. (8 marks)

[Total: 40 marks]

UKFF4024 MULTINATIONAL FINANCE

Section B: Answer any **TWO (2)** out of **THREE (3)** questions. **[Total: 60 marks]**

Q1. (a) When will a currency speculator take a long position in currency put options? With the aid of a payoff diagram, briefly describe the potential gain or loss for the speculator. Shade and indicate the areas of potential gain or loss. (12 marks)

(b) How do a borrower and a lender of floating interest rate loan hedge their respective interest rate risk with an interest rate swap? (10 marks)

(c) What is 'Abenomics'? How does the implementation of 'Abenomics' change the capital structure of multinational corporations in Japan? (8 marks)

[Total: 30 marks]

Q2. (a) Explain **FOUR (4)** disadvantages of a cross-border acquisition in comparison to a greenfield investment. (8 marks)

(b) Explain **FIVE (5)** revenue-related motives a multinational corporation engages in foreign direct investment. (10 marks)

(c) Assume the following quotes:

HSBC Bank quote:	\$1.6600/£
Barclays Bank quote:	€1.3900/£
Standard Chartered Bank quote:	\$1.2330/€

Required:

Calculate \$/€ cross rate. Determine whether the euro is overvalued or undervalued against the dollar at the rate quoted by Standard Chartered Bank. Calculate how much intermarket arbitrage profits a market trader with \$7,500,000 can make. (12 marks)

[Total: 30 marks]

Q3. (a) Explain FIVE (5) host country characteristics that could lead to a relatively lower financial gearing in a multinational corporation's local capital structure. (10 marks)

(b) Angel Di Maria is a foreign exchange dealer for a bank in Singapore. He has SGD 2,000,000 (or its AED equivalent) for a short-term money market investment. He wonders if he should invest in Singapore dollar (SGD) or make a covered interest arbitrage investment in the United Arab Emirates dirham (AED). He faces the following rates:

Section B Q3. (Continued)

Spot exchange rate	AED2.9880/SGD
3-month forward exchange rate	AED2.9954/SGD
3-month Singapore interest rate	3% p.a.
3-month United Arab Emirates interest rate	6% p.a.

Required:

Based on rule of thumb, which country's money market do you recommend Di Maria to invest in? Calculate the amount of covered interest arbitrage profits in SGD and in annualised yield. How would market forces realign AED/SGD spot and forward exchange rates to restore the Interest Rate Parity (IRP)?

(20 marks)

[Total: 30 marks]